

INDUSTRY FIELD NOTE

Banking economics reallocate—not collapse

Structural · Evidence current to 27 August 2026

Executive thesis

Banking economics are reallocating rather than collapsing. Some banks remain profitable, yet value is migrating toward private credit, payments, digital infrastructure, asset management and differentiated advice while legacy technology, compliance and operational risk consume resources. The leadership challenge is to redirect capital, talent and technology before external pressure forces broad cost cutting. The defensible bank combines trusted client relationships and balance-sheet capabilities with structural simplification and selective infrastructure leadership.

The numbers that anchor the view

>10% EU/EEA bank return on equity reported by EBA, which cautioned that expected improvement relies partly on lower staff and administrative expense. ^[1]	450+ bps decline in average bank ROE since the global financial crisis cited in the Weekly Brief archive. ^[2]
\$7 trillion five-year shareholder-value opportunity described for banks that fundamentally reshape their organizations. ^[2]	20% vs <5% annual growth in direct commercial lending by asset managers from 2017-22 versus bank asset growth, as cited in the Weekly Brief. ^[2]

How the signal evolved, 2023-2026

Post-2008 context · Returns remain structurally pressured

The Weekly Brief describes a long decline in average returns and persistent valuation challenges, particularly in parts of Europe and Asia. ^[2]

2023-25 · Nonbank and digital value pools expand

Private credit, fintech and digital payments grow faster than traditional bank assets in selected areas, while banks carry high fixed technology and control costs. ^{[2][3]}

2026 · Profitability coexists with migration risk

EBA reports resilient profitability while emphasizing operational dependencies, cyber risk and cost assumptions. Digital-asset research adds scenarios for payment, deposit and fee migration. ^{[1][4][5]}

How the trend creates - or destroys - value

Value moves toward specialized balance sheets and infrastructure

Private credit, payment platforms and market infrastructure can target attractive pools without carrying the full cost base of a universal bank. [2][5]

Legacy complexity raises the hurdle rate

Products, systems, legal entities and manual controls absorb capital and management attention. AI delivers limited value if it automates complexity rather than removes it. [2][6]

Trust and distribution remain incumbent assets

Licenses, deposits, client relationships and compliance capabilities can support digital money, advice and transaction services if the bank moves early enough. [4][7]

Economic logic

A bank's transformation case should bridge revenue migration, structural cost and capital allocation. Temporary rate benefits or lower credit costs can mask weak fee pools and legacy operating leverage. Conversely, headline disruption scenarios can overstate near-term impact when regulation and client trust slow adoption. Management should segment businesses by defensibility and right to win, simplify the cost base around the chosen portfolio and track whether technology spend improves productivity, client economics and operational resilience together. [2][1][5][4]

Implications by stakeholder

Portfolio Reallocate toward client franchises and infrastructure positions where trust, data, liquidity or advice create defensible economics.	Cost Remove products, systems and process complexity before scaling AI; structural simplification is more durable than repeated headcount programs.
Risk Treat cyber, third-party and operational dependencies as part of the earnings model, not only compliance.	

CEO action agenda

NEXT 90 DAYS Rebuild the value-pool map Quantify where payments, private credit, digital assets and advice could change revenue and capital intensity.	NEXT 90 DAYS Identify structural complexity Map products, systems, entities and controls that generate cost without supporting a defensible client proposition.
6-12 MONTHS Fund the chosen positions Shift capital and technology talent toward priority client and infrastructure franchises with explicit return targets.	6-12 MONTHS Modernize resilience with productivity Use shared data, controls and platforms to improve cost and operational risk together.

What could break the thesis

- Sustained favorable rates or credit conditions could support profitability longer than structural narratives imply.
- Regulation may slow nonbank or digital competitors and preserve incumbent economics.
- Large transformation programs can destroy value if simplification disrupts customer service or controls.

Indicators to monitor

• Revenue and capital by value pool
• Structural versus cyclical profitability
• Cost of product and system complexity
• Technology value realization
• Operational-risk losses and recovery time

Evidence boundary and confidence

High that value pools are reallocating; medium on the speed of revenue migration
Current profitability differs by market and institution. Structural pressure should not be misread as an immediate, universal collapse in bank earnings.

Sources and traceability

- [1] Authoritative research · European Banking Authority · 2026-06-18 · Risk Assessment Report — June 2026 · p. 5
- [2] Weekly Brief · 2024-03-25 · Banking at a Crossroads
- [3] Weekly Brief · 2023-05-09 · Fintech and the Case for Optimism
- [4] Weekly Brief · 2026-08-04 · Getting Real About Digital Assets
- [5] Authoritative research · McKinsey & Company · 2026-05-01 · Global Banking Annual Review 2026: Precision with Speed
- [6] Weekly Brief · 2026-05-06 · When AI and Cost Become One Agenda
- [7] Authoritative research · BIS · 2026-06-29 · Anchoring Trust in Money: Innovation Beyond Stablecoins
- [8] Authoritative research · J.P. Morgan Global Research · 2026-07-01 · Mid-Year Market Outlook 2026: The Tug of War Continues

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